

INTERNAL AUDIT REPORT

Vendor Risk Audit | Report No. AR-02317

Report ID:	AR-02317
Audit Type:	Vendor Risk Audit
Report Date:	April 11, 2023
Audit Period:	2022-12-18 to 2023-04-03
Lead Auditor:	Clayton Mitchell (EMP-11128)
Reviewed By:	Timothy Byrd (EMP-72448)
Primary Vendor Reference:	VoltEdge Solutions Group (VND-04299)
Subject Employee Reference:	Richard Moore (EMP-66228)
Primary Transaction Reference:	TXN-C898935515
Overall Risk Rating:	MEDIUM

1. EXECUTIVE SUMMARY

This vendor risk audit covered the period 2022-12-18 to 2023-04-03 and examined transactions, approvals, and compliance records associated with vendor VoltEdge Solutions Group (VND-04299) and employee Richard Moore (EMP-66228). The audit identified 3 finding(s) requiring management attention, summarised in Section 3. The overall risk rating for this audit is assessed as **MEDIUM**.

2. SCOPE AND METHODOLOGY

The audit was conducted in accordance with the Internal Audit Charter and covered a sample of transactions processed through the Approval Workflow and Expense Claim systems. Testing included transaction tracing, approval limit verification, compliance record cross-referencing, and interviews with relevant process owners. Transaction ID TXN-C898935515 (amount 97,851.98 GBP) was selected as a key test item.

3. FINDINGS

Finding ID	Severity	Category	Description
FND-001576	MEDIUM	APPROVAL LIMIT	Payment of \$481,460 approved at Level 3, which has a limit of \$100,000. Transaction exceeded limit by \$44,465.
FND-002499	MEDIUM	POLICY BREACH	Employee submitted Training claim 19% above the authorised policy limit without prior exception approval.

Finding ID	Severity	Category	Description
FND-000693	MEDIUM	APPROVAL LIMIT	Escalation protocol was bypassed. Transaction valued at \$227,119 was approved at L1 without L4 countersignature.

4. EVIDENCE REFERENCES

Evidence ID	Source Type	Citation Reference	Alignment Score
EVI-001261	VENDOR RECORD	EVD-PJI-1189	0.79
EVI-002621	CONTRACT RECORD	EVD-TXP-1819	0.97
EVI-003798	POLICY DOCUMENT	EVD-LGO-6169	0.90
EVI-009903	TRANSACTION RECORD	EVD-DQR-9214	0.58
EVI-015450	VENDOR RECORD	EVD-PAZ-7254	0.98

5. RECOMMENDATIONS

- Review and update vendor risk ratings following adverse compliance findings.
- Restrict post-termination system access to prevent ghost-approver scenarios.
- Introduce automated system validation to block approvals exceeding the approver's authorised limit.

6. MANAGEMENT RESPONSE

Management has already initiated corrective action; closure verification is scheduled for the next audit cycle.

7. SIGN-OFF

Role	Name	Employee ID	Date
Lead Auditor	Clayton Mitchell	EMP-11128	2023-04-11
Reviewing Officer	Timothy Byrd	EMP-72448	2023-04-13